

COMMITTEE AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend HB3704 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

CrosswhiteHader
Adopted: _____

Amendment submitted by: Denise

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED COMMITTEE
SUBSTITUTE
FOR
HOUSE BILL NO. 3704

By: Crosswhite Hader

PROPOSED COMMITTEE SUBSTITUTE

An Act relating to revenue and taxation; electing the State of Oklahoma to participate in the federal income tax credit for individual contributions to scholarship granting organizations; directing the Governor to execute required certification and agreements as required by the United States Department of the Treasury; requiring the Oklahoma Tax Commission to identify certain scholarship granting organizations and provide list to the Secretary of the Treasury; requiring the Oklahoma Tax Commission to promulgate necessary rules, forms, and procedures; prohibiting the promulgation of rules that exceed certain requirements; providing for election to participate in the federal income tax credit to remain in effect for certain period; providing for codification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.901 of Title 68, unless there is created a duplication in numbering, reads as follows:

1 A. The State of Oklahoma hereby elects to participate, to the
2 fullest extent permitted by federal law, in the federal income tax
3 credit for individual contributions to Scholarship Granting
4 Organizations, as established in Section 25F of the Internal Revenue
5 Code of 1986, as added by Section 70411 of Pub. L. No. 119-21, or
6 any successor provision.

7 B. The Governor of this state is directed and authorized to:

8 1. Execute and submit any election, certification, agreement,
9 or other instrument required by the United States Department of the
10 Treasury or the Internal Revenue Service for a state to be treated
11 as a "covered state" for purposes of the federal credit for
12 contributions to scholarship granting organizations;

13 2. Designate, consistent with federal law, the Oklahoma Tax
14 Commission as the state agency responsible for:

15 a. identifying and registering Scholarship Granting
16 Organizations within this state that meet the
17 requirements of Section 25F of the Internal Revenue
18 Code of 1986 and related federal guidance,

19 b. maintaining and providing to the Secretary of the
20 Treasury a list of Scholarship Granting Organizations
21 identified in subparagraph a of this paragraph that
22 are located in this state, and

23 c. performing any reporting, recordkeeping, or compliance
24 functions specifically required of covered states

1 under Pub. L. No. 119-21 and applicable federal
2 regulations; and

3 3. Take any other action and execute any other document that is
4 required to implement and maintain the state's election to
5 participate in the federal tax credit for contributions to
6 Scholarship Granting Organizations.

7 C. The Oklahoma Tax Commission shall:

8 1. Coordinate, to the extent necessary, the administration of
9 this section with the existing income tax credit provided in Section
10 2357.206 of Title 68 of the Oklahoma Statutes for contributions to
11 scholarship granting organizations and related entities that also
12 comply with Section 25F of the Internal Revenue Code, as added by
13 Pub. L. 119-21;

14 2. Promulgate such rules, forms, and procedures, subject to
15 subsection D of this act as are necessary to:

16 a. register Scholarship Granting Organizations on a list
17 and in a format indicated by the Department of
18 Treasury for purposes of this section,

19 b. collect and transmit information only as required by
20 the Secretary of the Treasury or the Internal Revenue
21 Service concerning qualified contributions, qualified
22 organizations, and scholarship awards, and

23 c. inform taxpayers and Scholarship Granting
24 Organizations of the interaction between the federal

1 credit under Section 25F of the Internal Revenue Code
2 of 1986 and any state-level income tax credit allowed
3 under Section 2357.206 of Title 68 of the Oklahoma
4 Statutes, including any reduction in the federal
5 credit on account of a state credit for the same
6 contribution.

7 D. No state department, division, or any other agency,
8 including the Oklahoma Tax Commission and Governor, shall promulgate
9 any rules or regulations that exceed requirements of the applicable
10 federal law or rules and regulations in implementing this act.

11 E. The election made pursuant to subsection A of this section
12 shall remain in effect for all tax years for which federal law
13 permits state participation in the credit program, unless repealed
14 by an act of the Legislature or unless federal law is amended to
15 terminate participating-state status.

16 SECTION 2. This act shall become effective July 1, 2026.

17 SECTION 3. It being immediately necessary for the preservation
18 of the public peace, health or safety, an emergency is hereby
19 declared to exist, by reason whereof this act shall take effect and
20 be in full force from and after its passage and approval.

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22 60-2-16711 AO 02/24/26
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